Once again, however, a blow fell on the Marathas for Madhav Rao died of consumption in 1772. The Maratha empire was now in a state of confusion. At Poona, there was a struggle for power between Raghunath Rao, the younger brother of Balaji Baji Rao, and Narayan Rao, the younger brother of Madhav Rao. Narayan Rao was killed in 1773. He was succeeded by his posthumous son, Sawai Madhav Rao. Out of frustration, Raghunath Rao went over to the British and tried to capture power with their help. This resulted in the First Anglo-Maratha War.

The Peshwa's power was now on the wane. At Poona there was constant intrigue between the supporters of Sawai Madhav Rao, headed by Nana Phadnis, and the partisans of Raghunath Rao. In the meantime, the big Maratha *sardars* had been carving out semi-independent states in the north, which could seldom cooperate. Gaekwad at Baroda, Bhonsle at Nagpur, Holkar at Indore and Sindhia at Gwalior were the most important. They had established regular administrations on the pattern of Mughal administration and possessed their separate armies. Their allegiance to the Peshwas became more and more nominal. Instead they joined opposing factions at Poona and intrigued with the enemies of the Maratha Empire.

Among the Maratha rulers in the North, Mahadji Sindhia was the most important. He organised a powerful European style army, consisting equally of Hindu and Muslim soldiers, with the help of French and Portuguese officers and gunners. He established his own ordnance factories near Agra. He established control over Emperor Shah Alam in 1784. From the emperor he secured the appointment of the Peshwa as the Emperor's Deputy *(Naib-i-Munaib)* on the condition that Mahadji would act on behalf of the Peshwa. But he spent his energies intriguing against Nana Phadnis. He was also a bitter enemy of Holkar of Indore. He died in 1794. He and Nana Phadnis, who died in 1800, were the last of the great soldiers and statesmen who had raised the Maratha power to its height in the eighteenth century.

Sawai Madhav Rao died in 1795 and was succeeded by the utterly worthless Baji Rao II, son of Raghunath Rao. The British had by now